

JSW Energy Ltd | JSWENERGY | Energy

JSW Energy Ltd and its subsidiaries are primarily engaged in the business of generation of power from its power assets located at Karnataka, Maharashtra, Nandyal and Salboni. It is the holding company for the JSW group's power business. The company also has a JV company engaged in mining activities and an associate engaged in manufacturing of turbines.[1]

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
8.28%	7.15%	15.02%	1.52	4.68%	-1963.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	8263.0	3324.0	623.0	40.0%	4.0
2018-03	8049.0	2713.0	85.0	34.0%	0.0
2019-03	9138.0	2855.0	684.0	31.0%	4.0
2020-03	8273.0	2957.0	1081.0	36.0%	7.0
2021-03	6922.0	2913.0	823.0	42.0%	5.0
2022-03	8167.0	3572.0	1743.0	44.0%	11.0
2023-03	10332.0	3282.0	1480.0	32.0%	9.0
2024-03	11486.0	5382.0	1725.0	47.0%	10.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	5.79%	7.56%	0.89	2436.0	1.11%
2020-03	9.28%	5.67%	0.84	2383.0	-2.41%
2021-03	5.67%	7.63%	0.58	2670.0	-6.76%
2022-03	10.01%	9.26%	0.51	1565.0	-0.23%
2023-03	7.94%	4.84%	1.34	-4694.0	5.12%
2024-03	8.28%	7.15%	1.52	-1963.0	4.68%

Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	1641.0	10181.0	10555.0	25926.0
2020-03	1642.0	10004.0	9840.0	24931.0
2021-03	1642.0	12865.0	8371.0	26207.0
2022-03	1640.0	15775.0	8943.0	30514.0
2023-03	1641.0	16988.0	25051.0	48417.0
2024-03	1641.0	19191.0	31573.0	57767.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	2952.0	-1387.0	-781.0	784.0
2023-03	2084.0	-6778.0	7327.0	2634.0
2024-03	6234.0	-8197.0	1675.0	-289.0

Capital Allocation Pattern

Cash Accumulator

Strengths

- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Revenue growing slower than profits shows improving operating leverage and scale benefits

Concerns

- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum